Navigating Opportunities and Barriers in Circular Fashion

A Governance Case Study of H&M

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Abstract:

Environmental exploitation has increased significantly; the textile industry is a major contributor to this trajectory. Over the past decades, fast fashion has been a dominant business model, but the waste generated has been a big question; so many companies have adopted the circular fashion model. While companies are frequently reporting progress on circular programs or recycled materials, far less is known about the governance mechanisms, such as who makes the decision, who is accountable, or how the information flows, which shape everyday choices within an organization. This thesis examines the influence of employee perceptions and governance structure on the implementation of circular initiatives. H&M was studied as a single case study. In this study, a qualitative research design is used, in which semi-structured interviews and document analysis of corporate reports were conducted. This study adopts a multi-level analytical framework in which governance acts as central framing; sensemaking theory is used to examine employee perception and interpretation, while organizational change theory is used for structural constraints as a complementary perspective. The research findings show how decision-making is centralized and impacts accountability and traceability. Both are now formalized increasingly due to increased regulatory pressure. The results show that employees view circularity as a means to reduce impact on the environment, and they do not consider it a transformative shift because of structural constraints faced by fast-fashion retailers. One of the major enablers of sustainability was regulatory pressure, while technology, economy, and consumer behaviour were seen as barriers to the implementation of circularity initiatives.

This study contributes to research by showing how internal factors, such as governance, or external factors, such as structural constraints, shape the implementation of circularity initiatives. This research also provides practical insights on the effectiveness of circularity strategies and recommendations. The results of the study highlighted the need for three things: clear governance frameworks, stronger technological infrastructure, and long-term organizational alignment.

Keywords: Fast-fashion, Sustainability governance, Circular economy, Circular fashion, Accountability, Traceability

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Abbreviations

RQ	**Research Question**
CSRD	**Corporate Sustainability Reporting Directive**
ESG	**Environmental, Social, and Governance**
EU	**European Union**

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Chapter 1: Introduction

1.1 Background

Human impact on the environment has significantly increased. The exploitation of resources and increased demands are placing severe stress on ecological and natural systems. An estimate by the United Nations Sustainable Development Goals Report 2023 shows that three planets are required by the year 2050 if we continue to use resources the way we are doing now (United Nations 2023, pp. 5-10). The textile industry is a major contributor to this trajectory, according to a research team led by Professor Kirsi Niinimäki et al. (2020), the textile industry is estimated to contribute up to 10% to global carbon emissions, and they generate a substantial amount of waste every year (Niinimäki et al., 2020). Over the past decades, fast fashion has been a very dominant business model in the textile industry for both production and consumption, characterized by low-cost large-scale production, rapid fashion cycles, overconsumption, and recurring disposal patterns. This type of pattern in the clothing industry has raised multiple concerns and challenges, including rapid trend cycles, large volumes of low-cost production, and short lifespan of garments (Bhardwaj & Fairhurst 2010; Brydges 2021; Dissanayake 2019; Niinimäki et al. 2020). To respond to these challenges and issues, the circular economy has been adopted in the fashion sector. The concept of circular economy emerged in the 1970s through industrial ecology and early work by scholars such as Stahel (1982), but it entered the mainstream sustainability discourse in the 2010s, largely through the Ellen MacArthur Foundation (2013). This shift reframed sustainability from just a general aspirational goal to a more operationally focused one. It is important to clarify this evolution because it highlights how circularity differs from sustainability, even though these concepts are commonly conflated.

The circular economy is described as a system that minimizes waste, reduces reliance on virgin resources, and extends the lifespan of a product (Kirchherr et al., 2017). While sustainability extends across environmental, social, and economic dimensions, the circular economy is narrower as it focuses on operational work, such as material loops and resource efficiency. The distinction is important because the terms are used interchangeably, reflecting the overlap and ambiguity between sustainability and circularity. Given the resource intensity, a transition to a circular economy is both urgent and needed, as described by Colucci et al., 2021 (Colucci et al., 2021). While companies are frequently reporting progress on circular programs or recycled materials, far less is known about the governance mechanisms, such as who makes the decision, who is accountable, or how the information flows; this shapes everyday choices within an

organization (Brydges 2021; Papú Carrone 2020; Turker & Altuntaş 2014). Employee perception, on the other hand, provides an important yet understudied perspective of circular strategies (Brydges, 2021; Turker & Altuntaş, 2014). Investigating these internal dynamics is therefore crucial as it will explain why a gap often emerges between the actual outcomes and public sustainability claims. This study addresses the conceptual and empirical gap by examining how governance structures and employee experiences influence the implementation of circularity initiatives within a fast-fashion retailer. H&M is one of the largest fashion retailers, which makes it a particularly relevant case given its global scale, extensive sustainability disclosures, multiple circular pilots, and complex, geographically dispersed supply chains. These features offer visibility into governance mechanisms at scale and make the implementation gap empirically tractable in this case. Therefore, this thesis investigates the influence of governance structures and employee perceptions on the implementation of circular initiatives at H&M.

1.2 Research Problem

Although H&M publicly reports the progress by sharing the increased use of recycled materials and improving resource efficiency (H&M Group, 2024), the practical implementation of these ambitions remains complex. Existing research highlights some other persistent challenges, such as limited traceability (Köksal et al., 2017) and ongoing concerns about corporate greenwashing within the fashion sector (Badhwar et al., 2024). Less is known about how decision-rights are allocated, what information guides the organizational choices, and how accountability is structured related to circular initiatives. Equally understudied are employees' perceptions of trade-off, feasibility, and practical barriers linked with circularity gaps repeatedly noticed in existing literature (Brydges, 2021; Papú Carrone, 2020; Turker & Altuntaş, 2014). Addressing these gaps is important because they help explain why circularity succeeds or stalls. This thesis investigates decision-making (who decides what), accountability, information flow (based on what information), and how employees perceive the feasibility of circular initiatives, how an organization’s governance structure influences the implementation and outcomes of circularity initiatives within a global fashion retailer (H&M). Therefore, this study addresses the problem of limited empirical understanding of internal governance. Understanding this will contribute to both scientific knowledge and practical approaches to corporate circularity.

1.3 Aim of study and Research Questions

The study aims to explore the organization's internal governance structure and employee perception in implementing initiatives, it also examines how H&M is operationalizing circular initiatives and how governance mechanisms influence the outcome of these initiatives. Furthermore, the aim is also to find out whether there are any gaps between actual practices and public claims made by the organization.

1.4 Research Questions

How the implementation of circular fashion initiatives is shaped by H&M's governance structure and employee's perception.

Sub Questions

1. How are decision-rights, accountability, and traceability for circular initiatives structured within H&M?
2. How do employees perceive the feasibility and trade-offs of key circular strategies (durability/repair, textile-to-textile recycling, resale)?
3. Which barriers/enablers arise at the governance operations interface (supplier oversight, data/metrics, technology constraints)?
4. To what extent do reported commitments align with observable practices over time (corporate disclosures and interview insights)?

1.5 Design overview

A qualitative single case study approach is employed in this study. Semi-structured interviews were conducted with sustainability professionals, and document analysis of H&M sustainability reports (2023-2024) was done. The research questions of the study concentrate mainly on decision rights, accountability structures, and traceability mechanisms; employees' perceptions of feasibility and tradeoffs among key circular strategies; and the barriers and enablers emerging at the intersection of governance, operations, and technology. Together, these questions will help uncover and understand how internal organizational dynamics influence the effectiveness, credibility, and long-term viability of circular fashion initiatives.

Chapter 2: Literature Review

This chapter is structured to move from the broader context of fast-fashion and then narrow it down to its proposed solution, i.e., the circular economy. The chapter begins with a state-of-the-art overview of fast fashion, showing existing research on how fast-fashion has increased in recent years and its impact on the environment. The next section introduces the circular economy as a proposed solution to the textile industry. Literature shows how scholars have conceptualized this concept and what the limitations of the circular economy are in a fast-fashion world. Building on this, the chapter narrows down to a circular fashion and its strategies to reduce waste. Finally, sustainability governance is examined to look at the mechanisms impacting the implementation of sustainable practices. It also outlines four major challenges of sustainability governance, as they are getting more attention and are being mentioned in literature related to circularity. This structure allows the chapter to move from broad industry dynamics to specific governance mechanisms that shape circularity.

2.1 Fast Fashion Industry: Growth, Critiques, and Environmental Impacts

Over the past two decades, the fast fashion industry has undergone rapid expansion; low-cost manufacturing, accelerated production cycles, and consumer-oriented culture have been the biggest contributors to this. In the literature, Bhardwaj & Fairhurst (2010) describe fast fashion as a model to get trendy runway garments at a low price; the low cost of production makes it easy for retailers to introduce new collections more frequently (Bhardwaj & Fairhurst, 2010 pp. 165–173). Tokatli (2008) complements this view by showing how this model emerged strongly in the late 1990's as the supply chain became globalized and outsourcing to low-cost manufacturing was doable (Tokatli, 2008 pp. 21–38). Building on these structural accounts, McNeill & Moore (2015) argue that this model reshaped and shifted consumers' expectations to trend-driven purchasing, where speed and disposability are normalized (McNeill & Moore, 2015 pp. 212–222). However, Joy & Peña (2017) and Fletcher (2010) emphasized how the fast fashion industry is incompatible with sustainability due to its low-cost, high-speed, rapid turnover model (Joy & Peña, 2017 pp. 31–54; Fletcher, 2010). Other scholars also critique how fast fashion is impacting the social environment as well, emphasizing poor working conditions, opaque supply chains, and labor exploitation as key issues, as it makes accountability difficult (Anner, 2020). Bocken & Short (2021) and Niinimäki et al., (2020) also further argued that rather than focusing on reducing overall production, corporate sustainability strategies often focus on efficiency improvement, which in turn is a failure to address systematic unsustainability (Bocken & Short, 2021; Niinimäki et al., 2020, pp. 189–200).

These studies explain how the fast-fashion industry scaled quickly while prioritizing volume over longevity, which results in excessive use of resources and increased textile waste production. A study by the Ellen MacArthur Foundation (2017) shows that global clothing output doubled between 2000 and 2015, and the average number of wears per garment declined by 36% (Ellen MacArthur Foundation, 2017). With this increased production to fulfil the trend of obsession, the life cycle of garments is shortened, resulting in more disposal or waste production (Bick et al., 2018; Niinimäki & Hassi, 2011). Only less than 1% of recycled into new fibers due to economic or technological constraints (Ellen MacArthur Foundation, 2017; Sandin & Peters, 2018). These criticisms highlight the textile industry, especially fast-fashion, as a barrier to achieving environmental objectives. This literature suggests operational and economic logics, cost pressure creates tensions for circularity, and these tensions are explored in this thesis as they are crucial for understanding how the implementation of circular initiatives is done within an organization.

2.2 Circular Economy: Definitions, Strategies, Debates, and Limitations

The concept of circular economy gained substantial attention in sustainability research as it is seen as a potential solution for fast fashion. Kirchherr et al. (2017) and the Ellen MacArthur Foundation define circular economy as a system that aims to minimize the resource input and reduce the waste output through different strategies such as repair, reuse, recycling, and remanufacturing (Ellen MacArthur Foundation, 2013; Kirchherr et al., 2017). Reike highlighted in her research that previously, only 3Rs, recycle, reuse and reduce, were considered as the main frames for the circular economy, but they have now expanded into a framework (R0-R9) which focuses on extended lifecycle through repair, remanufacturing, and refurbishment rather than just reducing resource use (Reike et al., 2018). Several scholars argue that the concepts of the circular economy are overly optimistic, and that the systemic constraints of global industries are not well considered, as the literature also shows how the circular economy is highly dependent on structural conditions such as technological constraints, governance systems, market incentives, and cultural norms. Korhonen et al (2018) highlights internal contradictions within the circular economy, such as tension between claims of sustainability and continuous economic growth. Murray et al. (2017) further critique the circular economy for lacking attention to power relations, social dimensions, and institutional barriers that influence its implementation in industries. These critiques emphasize that a circular economy needs to be considered a contested framework that is shaped by technological, economic, and governance limitations. There are also several limitations related to the circular

economy and fast fashion, such as technological barriers, as textile-to-textile recycling is limited due to material degradation (Sandin & Peters, 2018; Shen et al., 2020). Other limitations like economic barriers and operational barriers also exits which make the circular economy a framework shaped by trade-offs and structural constraints that condition its feasibility in practice. Research consistently highlights that without systemic change, these circular practices will only surface, and there will be no sign of genuine change. To have a transformative effect, systematic change is necessary (Niinimäki et al., 2020).

2.3 Circular Fashion: Practices, Models, and Challenges

In the fashion industry, the circular economy functions as circular fashion, where resource use is reduced, and waste is minimized. Textile recycling is one of the most famous practices in the fashion industry, which converts waste from post-consumer textiles into new fibers and fabrics (Sandin & Peters, 2018; Bocken et al., 2016). However, Clarke et al. (2020) argue that although it is a good approach, the quality of recycled material is not as high, so its applicability to fast-fashion products is limited (Clarke et al., 2020). Other strategy to reduce waste is to focus on increasing the product's life. This can be done via the R-model; product life extends via repair, resale, and rental models. Take-back schemes and repair programs allow garments to remain in circulation longer, which delays disposal (Pal, R., Shen, B. & Sandberg, E. 2019). On the other hand, rental and resale provide alternatives to traditional ownership, supporting both environmental and economic objectives (Othman, Azizi 2025). These models encourage and rely on consumer behavior and willingness towards sustainable practices, which is inconsistent due to different cultural norms or perceptions of individuals regarding the product quality (Othman, Azizi 2025). Use of recycled fiber and bio-based textiles is also another way to reduce the burden on the environment. This practice is called material innovation. Proposed ways include regenerating polyester from PET bottles, biodegradable fabrics, and organic cotton blends, which are increasingly integrated into production (Niinimäki et al., 2020; Sandin & Peter, 2018). Although these innovations are beneficial, there is a need for a careful assessment of life cycle impacts, as sometimes the recycled material is made using high energy or chemical inputs, presenting other issues (Shen et al., 2020). The fashion industry is trying to implement these approaches mentioned above, but systemic barriers are still there to hinder the full adoption of circular fashion. Some major obstacles are technological limitations like high implementation cost or complex supply chain and consumer behavior patterns (Kirchherr et al., 2017; Niinimäki et al., 2020). Implementing circular fashion requires governance mechanisms that can enable traceability of material flows, coordinate decision-rights across suppliers and

internal teams, assign accountability of sustainability targets, provide incentives for adopting circular designs, and ensure reliability of data across the value chain. Weaknesses in these mechanisms are widely cited as barriers to implementing circular fashion practices (Kirchherr et al., 2017; Papú Carrone, 2020; Turker & Altuntaş, 2014). These challenges suggest that in order to achieve a meaningful outcome, circular fashion requires more than technical innovations; it needs adaptation in the business model, changes in consumer behavior, and supportive policies.

2.4 Governance in Sustainability and Circular Economy

According to Jastram and Schneider 2018, Governance in sustainability refers to the systems, institutional arrangements, norms, and all the processes which make sure resources are managed responsibly (Jastram & Schneider, 2018). Governance in the fashion sector determines whether the circular economy principles are translated into practices or are merely just on paper (Chan et al., 2020; Turker & Altuntaş, 2014). Below are four major governance issues that could impact the way things are being presented in any sustainability report.

- ***Problem with how sustainably sourced material is defined***

How fashion companies define sustainably sourced material is the first critique, as it contains inconsistency and ambiguity. Some scholars argue that these terms lack technical criteria; others think of it as a design problem varying from organization to organization (Santos et al., 2024). A broad definition gives companies a wide range to work with, making only marginal improvements in sustainability. This ambiguity shows an accountability problem where terms are not specified, and reliance on supplier data is more. This study examines who defines these categories and how and with what data.

- ***Technical limits of textile-to-textile recycling***

Authors such as Sandin and Peters (2018) and Shen et al (2020) highlight that, due to challenges like quality degradation or material contamination, only a limited proportion of textile waste is recycled (Sandin & Peters, 2018; Shen et al., 2020). Niinimäki et al (2020) further add that due to these issues, many brands use non-textile sources like PET bottles as recycled content rather than closed-loop garment recycling (Niinimäki et al., 2020). When the company sets broad or general sustainability targets, e.g., increased recycled content, rather than providing specific guidelines on how this recycled content can be achieved, employees or teams usually opt for the easiest or fastest way to meet the given targets. This study tracks how targets are specified and how accountability is assigned across functions for scale-up.

- ***Traceability challenges and Credibility of sustainability claims having global supply chain***

Another critique is that when an industry has a global supply chain, there are multiple factors that complicate traceability which reduces the verification of claims made by a firm. Having multi-layered systems and dispersed manufacturing networks traceability is so low that accountability is difficult (Turker & Altuntaş, 2014; Papú Carrone, 2020). Research shows that even well-resourced retailers face difficulties in ensuring consistency throughout the supply chain. Brydges 2021 explained in his studies that even leading retailers face barriers and issues when it comes to verifying sustainability standards beyond first-tier suppliers (Brydges, 2021). Low traceability indicates weaknesses in monitoring mechanisms and transparency. In low traceability conditions, accountability is hard to enforce, and thus, the claims remain partially unverifiable. This study analyzes which system supports and controls traceability, and who owns it, also how supplier oversights are governed across different regions. H&M reports strengthened auditing systems and increased transparency in its sustainability reports, but scholars still highlight the gaps between accountability and corporate disclosure (Brydges, 2021; Turker & Altuntaş, 2014).

- ***Greenwashing and symbolic sustainability***

Greenwashing was seen as a major concern in previous literature, as scholars argue that corporate initiatives serve as reputational objectives rather than structural change. Systematic reviews of greenwashing show that companies often make vague claims or do selective disclosure to construct an impression of sustainability that has nothing to do with impact reduction (Santos et al., 2024). Due to increased misinformation, major brands are under increased scrutiny as they are misleading consumers with environmental marketing. These issues have called for major changes in the roots, and reporting should be more transparent for the claims that are being made. Greenwashing risk is a governance failure where external communications outpace internal controls. Effective governance here requires internal control procedures, pre-approval decision rights for claims, and board-level accountability for sustainability. This study evaluates how sustainability claims are governed, how compliance alters internal accountability, and what incentives shape external messaging.

The above-mentioned critiques reveal that although companies endorse circularity publicly, the practical implementation is always constrained by ambiguity in definition, technological barriers in structure, and governance complexities. This shows that there is a need to go beyond corporate reporting and start examining the underlying system. The literature frames H&M as

a highly relevant case for governance-centered inquiry: the company's ambitious targets and visible investments make it a critical test of whether corporate strategy, supply-chain governance, regulatory oversight, and technological innovation can be aligned to produce genuinely circular outcomes or whether commitments risk remaining predominantly symbolic. This shows the importance of combining document analysis with interview-based inquiry to assess the governance, operationalization, and credibility of H&M's circular ambition.

2.5 Identified Research Gap

When it comes to sustainability strategies or material innovations in circular fashion, the existing literature has made a substantial contribution; we also find good data on consumer behaviors within the fashion industry (Bocken et al., 2016, Ghisellini et al., 2016; Niinimäki et al., 2020). Many studies are in favor of technical solutions like textile-to-textile recycling or innovative business models using R, resale, repair, or rental (Sandin & Peters, 2018; Shen et al., 2020). While other researchers critically assess the impact of fast fashion on the environment by highlighting the overproduction, life span, and low recycling rate as the biggest challenges (Brydges, 2021). Several gaps are still there despite this progress. Primarily, while corporate sustainability reporting is analyzed more often, studies focus on strategies and material outcomes rather than on analyzing the governance mechanisms that shape these implementations (Papú Carrone, 2020; Turker & Altuntaş, 2014). Another gap identified here is the perspective of stakeholders, particularly employees, managers, and the operational staff; remain unexplored. Employee perception of opportunities, barriers, and feasibility is important to understand whether the reported initiatives are effectively operationalized or remain symbolic (Santos et al., 2024). Despite the significant environmental footprint and complex supply chain, large multinational retailers are understudied, while most researchers concentrate on small-scale or regional fashion brands. (Niinimäki et al., 2020). Furthermore, there is limited research and investigation to see the alignment of corporate claims and actual practice, particularly regarding the circular initiatives. Issues such as greenwashing, supply chain complexity, technological limitations, and traceability gaps make it particularly important to examine both reported targets and their on-ground implementation (Brydges, 2021; Turker & Altuntaş, 2014). Without a clear analysis of these issues, there is a risk of sustainability initiatives remaining symbolic rather than transformative. Studying these gaps is important because they determine whether circularity becomes a meaningful practice or remains symbolic. These gaps justify the study being presented here. Focusing on a global fashion retailer, this research investigates governance structure, employee perceptions, and the practical

implementation of sustainability initiatives. This understanding will be a contribution to academic literature, and it will also provide practical insight into how the credibility and effectiveness of sustainability strategies can be improved in large organizations can be improved.

Chapter 3: Theoretical framework

This chapter explains theories used in the study, how they are applied, and why these specific theories are selected. This study adopts a multi-level analytical framework in which governance acts as central framing, and the chapter then integrates sensemaking theory used for employee perception and interpretation, and Organizational change theory used for structural constraints as complementary perspectives.

3.1 Governance as an Overarching Analytical Lens

Governance is used as an overarching analytical lens for this study because it captures the organizational mechanisms made by the organization, such as decision-making, accountability, and traceability, that influence circularity initiatives. It also sheds light on how incentives and information guide the sustainability actions (Jastram & Schneider, 2018; Turker & Altuntaş, 2014). Governance captures the organizational mechanisms that mediate between employee perceptions and structural constraints, which is the reason why governance is positioned at the meso-level. Governance is operationalized through six dimension: decision rights (who decides the targets), accountability (internal control and role responsibilities), traceability and monitoring (audit mechanisms), metrics, and incentives (performance consequences, target designs), oversight architecture (supplier and headquarters coordination), these dimensions were selected because they directly correspond to governance mechanisms which scholars identify as essential in understanding organization's coordination and their implementation of circular initiatives. These dimensions also guided the analysis of how organizational structures influence implementation and structured my coding by directing me to look for evidence of governance mechanisms in practice. Because circularity depends on both internal and external factors, such as suppliers, regulators, and auditors, governance is used to examine how external and internal mechanisms interact and shape implementation.

To enable a more detailed investigation of governance mechanisms, this study integrates two theories: sensemaking theory and organizational change theory.

3.2 Sensemaking Theory (Micro-level)

The sensemaking theory was developed by Karl Weick (Weick, 1995). It explains and conceptualizes how individuals construct meaning when facing ambiguity, demands, and organizational change. According to Weick, Sutcliffe & Obstfeld (2005), sensemaking is seen as a central point to study how employees perceive anything or how they navigate between implementation and strategy, it is also important in examining how employees see or understand organizational expectations (Weick, Sutcliffe & Obstfeld, 2005). For the analysis

on how employees make sense around circularity in an organization, cues, agency, frame, and enactment were traced across the empirical material of this study, which also shaped both the interview questions design as well as the aspects of transcripts coded.

3.3 Organizational Change Theory (Macro-Level)

Organizational change theory is used to understand how an organization adapts its structure in response to changes in external or internal factors. According to Oreg et al. (2019), transformation fails due to organizational structural constraints and not just because of the lack of intention. This theory guided my analysis of structural and operational conditions that shape implementation, which helped with the examination of why some initiatives scale while others do not. It also guided me to look for patterns related to organizational change or multi-level coordination.

These theories helped illuminate employees' meaning of circularity and how implementation is shaped by operational and structural conditions. These theories are chosen as they offer direct conceptual fit with the constructs and patterns of empirical material. Other perspectives or theories that are used commonly, such as environmental governance theory and institutional theory, do provide valuable insight, but they do not cover all aspects that are central to this study. For example, institutional theory does cover organizational identity and legitimacy, but does not cover accountability structure, decision rights, or power asymmetries, making it not a good fit for this study. Therefore, the selected theories are empirically grounded and a stronger fit for this research.

3.4 Operationalization of theories

Each theory was operationalized into a set of lenses that helped in guiding the structure of coding and interpretation of empirical material. Sensemaking theory is operationalized through dimensions of cues, interpretive frames, perceived agency, plausibility, and enactment; this guided how employee interpretation of circularity was identified and compared across interviews. Meanwhile, Organizational Change Theory was operationalized through the dimensions of organizational readiness, multi-level alignment, capability constraints, and external pressure, which helped the examination of operational and structural conditions that shape the implementation of circularity. Collectively, these operationalizations shape the coding framework for the analysis and enable a systematic and consistent examination of organizational structures and interpretive processes.

The theories are used here as guides on how to interpret the data. Theory also helped in data collection, sensitising concepts to guide what the study pays attention to. They help in shaping the document review and interview guides by directing focus towards key governance elements such as accountability, decision rights, monitoring system and traceability, metrics and incentives, and the oversight between the supplier and headquarters. They also highlight transitional issues, such as regime constraints, institutional pressure, and barriers to scaling. In this way, the study is provided with an analytical framework that ensures the study is operationalized without presupposing fixing categorical boundaries. At a later stage cross-case thematic analysis was also done, which facilitated the development of governance-oriented explanations, so the theory worked as a lens that helped integrate different data sources into a good explanation. The theoretical framework directly informs the study's RQs; RQ1 (decision-rights, accountability, traceability) is addressed through the governance concept that clarifies how decision rights, accountability, and traceability are structured within the organization. RQ2 (employee perceptions and feasibility) is addressed through both sensemaking theory to explain how employees interpret feasibility and organizational change theory to account for structural constraints that shape these perceptions. RQ3 (governance–operations interface) is addressed through interaction between governance dimensions and organizational change constructs; this illuminates the enablers and barriers at the governance-operations interface. While RQ4 (alignment of commitments and practices) is addressed through governance mechanisms related to transparency and monitoring, combined with organizational change theory that gives insights that explain variations or gaps in alignments between commitments and practices over time.

By integrating micro-level sensemaking, meso-level governance arrangements, and macro-level governance structures, these frameworks show how organizational arrangements influence the interpretation of individuals, and how these interpretations then influence circular initiatives. Together, these three lenses enable a multi-level analysis, where sensemaking captures the employee interpretations, governance clarifies the organizational structures, and organizational change theory explains the systematic conditions shaping the implementation.

Chapter 4: Research Methodology

This chapter explains the methodology of the study, including research design, data collection, as well as data analysis. It explains how interviews were conducted and how the corporate documents were analyzed. The aim is to justify the choices made by the researcher. The last section of this chapter addresses the research ethics of the study.

This study focuses on H&M as a critical case for examining the governance of sustainability practices. The approach used here is abductive, which means that the analysis moves back and forth between the existing theories and the data (Timmermans & Tavory, 2012). This approach is suitable because the goal is not to test a fixed hypothesis but to discover the governance mechanisms as they appear in the data. Here, theory does not determine the coding in advance; theory provides general ideas that help the researcher notice the relevant issues without limiting what can be found. So, the theory here is providing sensitizing concepts presented in Chapter 3. In this chapter, the focus is on the methodological procedures used to collect and analyze data.

Qualitative approach is suitable here because it allows in-depth exploration of complex dynamics of organization, employee perceptions, and internal decision-making process, which are, of course, central to understanding how sustainability initiatives are implemented in practice. This study analyzes sustainability claims in H&M sustainability reports 2023-2024, which aim to identify inconsistencies between operational realities.

4.1 Research Design

This research employs a qualitative single-case study design. A single case design is appropriate because H&M functions as a *critical case* where governance mechanisms, circularity commitments, and implementation challenges are highly visible, allowing analytical insight into broader patterns of sustainability governance (Flyvbjerg, 2006). H&M Sweden was selected for its public commitment to circular fashion initiatives despite its extensive supply chain, making it ideal for exploring how its governance structure shapes sustainability outcomes. Data for the study are collected at multiple levels primary data is collected via employee interviews, while Sustainability reports (2023-2024) and corporate documents (H&M group Climate transition plan, 2023-2024) are used as secondary data. This design enables the analysis of both formal governance mechanisms and employees lived experiences, capturing the practical realities and limitations of implementing circular strategies.

4.2 Data Collection

The purpose of this study is to investigate the underlying causes and factors influencing the implementation of circular initiatives by using H&M as a case study. The primary data for this study comes from interviews, as H&M is a private organization, making it difficult to get in and conduct interviews. As an external academic researcher, I did not have access to H&M's insider view, my ability to observe anything directly was limited, but it reduced the risk of reproducing organizational narratives. After a month of back-and-forth discussion with the employees, we managed to get three interviews. The number of interviews is small, but the interviewees were selected based on their knowledge of internal governance processes and whether they are impacted by sustainability initiatives. The primary data is collected from interviews and is combined with secondary data from sustainability reports and academic literature. This ensures validity and depth that allow a good understanding of how circular fashion initiatives are implemented and how governance structures influence the outcomes. As the access to participants was through corporate channels, the sample of the study may reflect the participants who were comfortable in discussing sustainability, to overcome these issues, the study used open-ended questions and encouraged concrete examples. I also triangulated interview responses with corporate documents and an independent assessment.

4.2.1 Primary Data: Semi-Structured Interviews

Semi-structured interviews were the source of primary data in this study; they were selected as they provide flexibility to explore individual perspectives while staying on point with the research objectives. Three interviews were conducted with H&M employees who are either involved in or impacted by sustainability initiatives. The interviewees were selected based on their direct involvement in sustainability work and their knowledge of internal governance processes. All participants had more than a decade of experience, which positioned them as information rich respondents capable of providing deep and historically grounded insights into the research questions. The recruitment occurred through direct email invitations with reference to the research supervisor of this study. The sampling method of this study was purposeful sampling, as the employees with direct experience and knowledge of circular initiatives were selected (Palinkas et al., 2015).

Interview Guide: The interview questions were designed with a few key concepts such as; accountability and decision-making processes, challenges, and opportunities of circular fashion in the organization, perception of employees regarding sustainability initiatives. Interviews

were conducted online and onsite and recorded with the participants' informed consent. Each interview was about an hour long. To maintain confidentiality, the data collected is anonymized.

4.2.2 Secondary Data: Corporate Reports and Documentation

The secondary data sources were H&M sustainability reports (2023-2024) and the Climate transition plan 2024. I read other previous sustainability reports from 2019-2022, but only the reports of 2023-2024 were selected because they provide essential information on ongoing sustainability projects and an overview of challenges the organization is facing. I read the sustainability report for the year 2023-2024 and a summary of the sustainability report of 2025, along with the climate transition plan 2024, as they provide a detailed view of previous, ongoing, and closed projects related to sustainability. These documents also provide insights into organizational narratives, governance structures, and reporting mechanisms. Secondary data is analyzed for two purposes: first, for extracting information on decision rights, traceability systems, accountability, target definitions, and audit structures. These elements inform the operationalization of governance concepts used in research questions RQ1 and RQ3. The second purpose was to critically evaluate sustainability claims by comparing H&M's narrative representation with the technical details provided in methodological notes. This process helps in identifying gaps between what is reported and what is operationally evident, supporting RQ4.

4.3 Data Analysis

A multistage coding process was conducted (Saldaña, 2016), guided by an abductive approach allowing movement between theoretical and empirical data (Timmermans & Tavory, 2012). To allow themes to emerge directly from the data, coding was conducted inductively, and interpretation of data was guided by the theories mentioned earlier. Using a deductive approach, this analysis prioritized theoretical insight and depth. The themes, such as decision rights, economic pressure, and traceability, were developed through systematic comparison across the dataset, consistent with thematic analysis principles (Braun & Clarke, 2006).

Coding Procedure: Coding was done manually using a combination of interview transcripts, notes on the transcripts, and a word doc to organize the emerging codes and themes.

Cycle 1: Initial coding: Each transcript was read line by line, and brief description codes were written to capture the meanings expressed by the participants. No theoretical terminology is applied at this point, and the purpose here was to stay close to the participants' meaning and language.

Cycle 2: Focused coding, theory as sensitising concept: Here, the initial codes were compared and grouped into categories. Governance concepts were functioning here as sensitising lenses, which helped in guiding which codes were more relevant. For example: codes about confusion over recycled material targets were assigned to the category of unclear decision-rights. Similarly, under traceability constraints, a lack of supplier-level verification was assigned.

Cycle 3: Theme Development (Abductive Integration): Later, the categories were reorganized into themes. Some questions guiding this step were what governance mechanisms explain this pattern, or what organizational structure produces this experience? Themes were tested against the whole dataset. Thematic maps were drawn manually to visualize the relationship between inductive code, focused categories, and final themes, which helped strengthen the transparency of the analysis and provided a visual audit of how codes evolved into final themes. Empirical codes are developed from interviews inductively grounded in participants' descriptions of decision rights, accountability, traceability, and incentives. Then interpreted through the lens of governance and transition theories to build a plausible explanation. When tension emerges or unexpected patterns are seen, the analysis refines assumptions using a theoretical framework, and if needed, the focus of document extraction is adjusted, such as by examining how targets were defined internally.

4.3.2 Methodological Limitations

This study has some methodological limitations, as the small number of interviews limits the range of perspectives, but cross-functional participants provided sufficient depth and insights. Another limitation was access bias, as it may have reduced the likelihood of including more critical voices because it was done via corporate channels. To mitigate this, probing questions were asked that encouraged participants to discuss challenges and tensions; later, triangulation helped. Corporate self-presentation was also a limitation, as participants may have adjusted their responses in accordance with organizational narratives; here, triangulation helped reduce the risk.

4.4 Research Ethics

This study follows four principles of research ethics established by the Swedish Research Council: information requirement, consent requirement, confidentiality, and utilization requirement. The participants were informed about the purpose of the study, the conditions of participation in this research, and their right to decide whether they wanted to participate or skip the questions they did not feel comfortable with. They were also free to choose the time and location of the interview as per their convenience. All the information, including recordings, interview transcripts, and personal information, is stored securely and is accessible only to the researcher. Information related to participants that was used for research. These four principles were important to follow for this study, as sustainability, in particular circularity, can be a sensitive issue for clothing companies to discuss (Moretto et al. 2018). This is a difficult topic to talk about because there is a possibility of highlighting drawbacks in the sector and ethical challenges (Di Benedetto, 2017). One of the ethical issues is that the clothing sector is a major contributor to waste, causing environmental pollution. So, companies might find it difficult to address this issue, as by doing so, they must address the damaging effect of their operations on the environment.

Use of AI: AI (Co-pilot) was used only for language editing and formatting support. All analytical work and conclusions are the author's own.

Chapter 5: Findings

This chapter presents the findings from the empirical study; the critical analysis of the documents, and answers to the research questions. It begins with results and findings derived from the corporate report, then the chapter presents the results for four research questions with their themes separated into subsections to allow clarity. This structure allows the chapter to remain coherent while still capturing the complexity of the findings.

5.1 H&M's Sustainability and Circularity Commitments

H&M, a global retailer in fast fashion, is among the most prominent ones to embrace circularity as a strategic objective. They make a commitment to make 100% of their materials either recycled or sustainably sourced by 2030 (H&M Group, 2024). The company's progress reports and public disclosure are based on a range of initiatives like the Garments take-back scheme, Loop in-store recycling, fiber innovations, and partnerships with textile-to-textile firms (H&M Group, 2024). A notable advancement in the company's climate targets is evident while reviewing H&M's sustainability reports for 2023 and 2024. The company demonstrates progress in climate commitments and sustainability metrics, while also exposing challenges related to data robustness and governance structures. Sustainability was presented as a strategic priority in both reports. Approximately a 24% reduction in operations related to greenhouse gas emissions was reported in 2023, with the year 2019 as a baseline (H&M Group, 2023, pp. 52–54). In 2024, the report continued to reflect the decrease in greenhouse gas emissions, reporting a 41% reduction in scope 1 and 2 emissions, and a 24% reduction in scope 3 emissions, using 2019 as the baseline. Additionally, 89% of materials are classified as sustainably sourced or recycled (H&M Group, 2025, pp. 58–59, 108). These reports do show alignment with the Paris agreement, highlighting the incorporation of science-based climate targets into governance and accountability frameworks (H&M Group, 2025, pp. 58–59). Despite the progress indicators, limitations concerning governance mechanisms and transparency remain. Although the company emphasizes alignment with the global climate framework, the evidence in reports is very limited on how governance mechanisms influence the emissions at the supplier or subcontractor level, this suggests a gap between commitment and tangible operational outcomes (H&M Group, 2025, pp. 108–110). Hahn and Lüfs 2014 also argued that the language in reports often blends narrative and promotional framing with quantitative data, which suggests a deeper structural tradeoff and the practical constraints surrounding implementation (Hahn & Lüfs 2014). Therefore, although H&M's reporting signals meaningful progress and formal governance integration, critical evaluation highlights the need

for improvements in data transparency, methodological rigor and effective governance that tangibly influence the outcomes.

For this study, the report statements by the organization are treated as organizational claims rather than a validated outcome, as the credibility of claims depends on the underlying governance mechanisms, taking into account the argument highlighted by scholars that corporate commitments require scrutiny even when accompanied by quantitative targets due to definitional inconsistencies and structural barriers. (Ellen MacArthur Foundation, 2017; Niinimäki et al., 2020). This study evaluates H&M's commitments through governance mechanisms that would be necessary to translate policy intent into practice.

Having established how H&M frames its circularity and governance work in its public reporting, the study now moves to the findings that address RQ1 and explore how these structures function internally. In the following section, I discuss themes that emerge from the interview transcript and are related to the research question 1.

5.2 Decision rights, Accountability and Traceability

5.2.1 Integrated governance structures and Decision-rights

All interviewees described H&M's sustainability governance as deeply institutionalized within the organization. They mentioned H&M's long commitment to sustainability earlier. Interviewee C shed light on how H&M was committed to sustainability in the 1990's. This longevity positions H&M as one that embeds sustainability as a fundamental pillar of the organization, rather than treating it as a reactive trend. Four sub-themes emerged from the interview transcript that resonated with the RQ1.

5.2.2 Distributed Governance

Regarding RQ1, the interviews revealed how accountability is formalized within H&M's governance structures. As summarized in table 1, the interviewees described governance as centralized, while operational responsibility is distributed. For example, Interviewee C explained that the governance structure is multilayered, making it more effective. When asked about the team, they said: "We have a sustainability department with about 55 people and the community with around 240 people, and more than 1500 working in production who work closely with sustainability targets". This shows that they have a distributed structure in the operations, supply chain, and production, which is the core area for material sourcing and decarbonization.

5.2.3 Decision rights and Leadership

The interviews show that circularity and sustainability initiatives are under high-level executive oversight, with structured accountability cycles.

As shown in table 1, this reporting structure clarifies who is answerable to whom and at what intervals. Interviewee C described a reporting process for the sustainability initiatives, in which the head of department must report quarterly to the CEO, as well as a review twice a year to the board. This reporting is also summarized in table 1, and it illustrates how accountability is formalized. Interviewee A also emphasized that all sustainability initiatives must align with organizational goals and receive approval from the leadership. Thus, it shows that decision rights are shared by bottom-up actors, like initiating ideas from the team to a top-down approach where senior leadership decides whether to move forward or not. This finding directly addresses RQ1 by showing how decision rights are structured between operational teams and senior leadership, and helps in understanding who is answerable, to whom, and at what intervals within H&M's governance hierarchy.

5.2.4 Regulatory compliance shaping the Governance

A central theme seen in interviewee C was how EU sustainability regulations, such as CSRD, and ESG, are shaping the decisions and thus reshaping the governance structures. As shown in Table 1, regulatory demands are key drivers of how decisions are formalized in H&M. All three interviewees had the same point of view when it came to regulation questions; they said it is our priority now to comply with the law. Meeting compliance obligations requires a comprehensive internal structure, so the interviewee stated that they had roughly 120 different disclosures with clear policies, guidelines, and processes that are shifting to meet the regulatory demands. In the discussion with interviewee C, they mentioned how traceability is becoming more formalized in governance requirements; they also emphasized the importance of documentation, audit structures, and supplier-level oversight, which respond to the traceability dimension of RQ1.

The interviews suggested that while sustainability at H&M is more of an internal ambition, governance structures are improved with time, and they are shaped by external imperatives. The interviews also described H&M as a hierarchical organization where the board and senior leadership are the ones who make decisions when it comes to setting strategic directions. At the same time, it was evident that governance is not purely a top-down process, but it is actually negotiated internally, which reflects a type of governance structure where the authority is centralized but innovation can emerge from anywhere, it would work if it aligned with the corporate priorities of the business.

Table #1: Analytical overview for RQ1 (Decision Rights, Accountability and Traceability)

RQ1 Component	Evidence from interviews	Alignment Summary	Critical Interpretation
Decision-rights	Senior leadership sets directions; initiatives require executive approval "Quarterly review … reports to the CEO" Interviewee C "Alliance with goals of business" Interviewee A	**Centralized authority with selective bottom-up input** Anyone can share and initiate ideas, but the scale up and acceptance depends on the leadership, plus the ideas should be aligned with the corporate goals and priorities of the organization.	Indicates selective decentralization; power remains concentrated; aligns with literature on hierarchical fashion governance.
Accountability	Formal reporting cadence (quarterly to CEO, semi-annual to Board) establishes who is answerable, to whom, and when. Interviewee C	**Structured accountability**: They have reporting cycles which ensures the accountability	Accountability is procedural as we cannot find any evidence on what happens when the targets are unmet, as explained in governance literature.
Traceability (governance design)	EU regulatory demands (CSRD, ESG) drive formalization; need for clear policies, documentation, independent accreditation, and approx. 120 disclosures. Interviewee A, B, C	**Regulation-anchored traceability**: They shared how they are shifting resources and systems to a structure which auditable have documentations hence more monitoring and governance	Supply chain opacity is not discussed deeply, as all improvements are compliance driven

Traceability (operationalization)	Production-level staff (1,500 people) "very much in touch with sustainability targets," indicating day-to-day monitoring in supplier regions. Interviewee C	**Embedded practice**: beyond head-office reporting, traceability is enacted through on-the-ground monitoring across the supply base.	Operational capacity is there but limited due to supply chain complexity.

5.3 Employee perceptions of feasibility and trade-offs

After outlining how governance mechanisms operate in practice, I now move to RQ2, focusing on employees' perceptions of the feasibility, challenges, and trade-offs associated with circular initiatives.

5.3.1 Circularity understood as complex and layered

Among all interviews, circularity was seen as a concept that is compelling in fast fashion, but difficult to work with when viewed from an operational point of view. As evidenced by the data in table 2, employees understand circularity from operational realities. Interviewee A shared that the transition toward a circular economy is harder and longer, while Interviewee B echoed this sentiment, sharing how their point of view has changed, and now they see it as something that will just reduce the impact but cannot solve the problem. This theme highlights how internal perceptions are usually shaped by operational tensions and organizational realities.

5.3.2 Perceptions of material trade-offs

One of the most frequently cited challenges among the interviewees was the material trade-off. Table 2 summarizes the evidence showing how the employees highlighted how the assessment and interpretation of circularity feasibility are shaped by technical limitations. Interviewee A illustrated this tension by sharing an example of wool, explaining how wool is incredibly good for longevity, but has super high CO2 emissions. At the same time, when we look at the recycled fiber, there are other challenges, such as lower durability, as explained by the Interviewees. When asked about this, Interviewee B elaborated on the dilemma that designing a product that is both durable and recyclable is not always feasible. They must prioritize one goal depending on the expected product usage. In relation to RQ2, this theme sheds light on how compromises and trade-offs are a part of circularity transitions, where improving one environmental dimension often undermines another.

5.3.3 Perceptions of circular business models: rental, repair, resale

Employee perception of circular business models further explains how feasibility assessments are shaped by structural constraints and operational realities, as summarized in table 2.

Interviewee A sheds light on how the repair model faces issues when it comes to scalability due to its high operational cost, as well as highlighting the misalignment between consumer behavior that does not support repair-based service. Some other questions regarding rental and resale were raised, to which all interviewees had the same comments: they stated that H&M tried rental, but for fast fashion, it is not economically viable due to low consumer uptake and the high burden of transport, cleaning, and quality management.

5.3.4 Emotional and professional engagement with circularity

When asked about personal commitments, all interviewees demonstrated a strong personal and professional commitment, showing that motivation is not a barrier to implementation. As shown in Table 2, participants consistently described how high motivation is, but other factors, such as decision rights, make the employee's agency limited. The interviewees emphasized that people want to feel involved, but the decision happens far from their day-to-day work, which highlights the internal tension. Although employees value the concept, their ability to influence any decision is constrained due to centralized decision-making. Similarly, H&M's reports highlight the accountability mechanisms for top-level or board oversight, leaving the question of how circularity is operationalized on lower levels. This theme aligns with RQ2, showing how motivation is not seen as a barrier, but how circularity ambitions in fast-fashion organizations encounter practical limitations with the governance system.

Table 2: Analytical Overview for RQ2 (Employee perceptions of feasibility and trade-offs)

RQ2 Theme	Evidence from interviews	Alignment Summary	Critical interpretation
Circularity understood as complex and layered	"The transition is harder" (Interviewee A) "Reduction of impact rather than solving the problem" (Interviewee B)	Employees view circularity as useful but not urgent.	Perceptions reflect awareness of **systemic limits** (global supply chains, volume pressures, technical constraints) that condition feasibility in fast fashion; skepticism signals realism, not resistance.
Perceptions of material trade-offs	Durability vs. climate: wool longevity vs. high CO_2 footprint (Interviewee A)	Feasibility judgements are **material-science-driven**	Exposes **governance design gaps** when high-level targets (e.g.,

	Recycled fibers: mechanical recycling reduces durability (Interviewee A) "Not always feasible to design for both durability and recyclability" (Interviewee B)	employees weigh durability, recyclability, and carbon trade-offs case-by-case, not as absolutes.	"recycled content") do not specify performance consequences; target design can steer teams toward easier, not better, options.
Perceptions of circular business models (repair, rental, resale)	**Repair:** "Not workable at scale." (Interviewee A) Rental**:** "We tried rental… not economically viable." (Interviewee A) **Resale:** "customer behaviour has not levelled up." (Interviewee C) + high ops burden (collect, sort, clean, photograph).	Employees judge **repair and rental** as misaligned with fast-fashion economics and consumer behaviour; **resale** is relatively more feasible, but infrastructure- and labor-intensive.	Shows **business-model frictions**: high logistics/processing costs and low willingness to pay limit scalability; partnerships (e.g., Sellpy) function as compensatory capacity rather than proof of seamless internalization.
Emotional & professional engagement vs. limited agency	Strong intrinsic motivation (Interviewee B) and desire to be involved, but **decisions are distant from day-to-day work** (Interviewee A).	Feasibility perceptions are shaped less by motivation than by **agency limits** within hierarchical governance; staff experience circularity ambitions through constraints they cannot directly change.	Confirms **centralized decision-rights** (board/CEO oversight, quarterly reporting) and compliance-centric traceability shaping what is doable; engagement must be mediated through internal comms.

5.4 Barriers and Enablers of Effective Implementation

Building employee-level perceptions outlined in RQ2; this next section investigates the barriers and enablers that emerge where governance structures meet day-to-day operations. In the following section, I will answer RQ3 from the interview transcripts.

5.4.1 Technology and infrastructure constraints

One of the most significant barriers at the governance-operations interface discussed in all interviews was technological and infrastructure constraints. Table 3 shows how participants mentioned technology as a barrier restricting circularity. For example, Interviewee B stated that there is a large part of what is put on the market today that current technology cannot be recycled at scale. This highlights dependency on technology. Interviewee A reinforced this when discussing technological barriers; they quoted that whoever could produce recycled cotton that still feels like cotton, that would be a gamechanger.

5.4.2 Economic and commercial pressures

Employees were frank while discussing economics as a big barrier across operational and governance. As summarized in table 3, participants mentioned the circular economy as something with no competitive advantage, especially in an era where customers do not care enough; this pointed to misalignment between customers' expectations of low price and the type of cost structure required to implement circular initiatives. Interviewee A pointed out that if there is difficulty in meeting targets financially, no one cares about sustainability, as to stay in the market, they need a good economy, this shows how circular transitions are tied to the organization's commercial performance. Among all interviews, the data showed that an organization’s ability to implement any circular strategy is shaped by its economic realities. In relation to RQ3, economic pressures can slow down or override the implementation of the initiatives, making commercial visibility a decisive factor.

5.4.3 Regulatory pressure as an enabler

When asked about regulatory pressure, all interviewees revealed that regulations do have an impact on the organization’s sustainability practices, especially with new regulations like CSRD and ESG, organizations have been more active, and audits have been strengthened within the organization. Table 3 shows other evidence and quotes of participants on how they see regulations as an enabler. Interviewees shared that they have roughly 120 disclosures with policy and guidelines, and they think of these as important in achieving desired outcomes. They also mentioned how they see these standards as helpful for companies to identify what kind of effort they need to put into sustainability initiatives to fulfil the requirements. Employees viewed regulations as power enablers that strengthen the governance of structures. Regulations were seen as an enabler and guidelines, not just a compliance requirement that could help in prioritization of goals. Interviewee C stated that with more regulations, the company has strengthened the audit process, improved internal controls, and formalized documentation that helps in addressing traceability within an organization.

5.4.4 Organizational culture and identity

During the interviews, the employees describe that despite all the limitations, they see organizational structure as an important internal enabler. Table 3 also sheds light on the evidence from the interview transcript. Interviewee A highlighted how the agenda revolves around what people want; Interviewee C also shared the same view, emphasizing how sustainability is deeply rooted in H&M's identity. These narratives align with earlier findings of RQ1, showing how sustainability is institutionalized within the organization. H&M's sustainability report also frames sustainability as a core pillar, highlighting cultural alignment and employee engagement.

Table 3: Analytical overview of RQ3 (Barriers and Enablers of Effective Implementation)

RQ3 Theme	**Evidence from interviews**	**Alignment Summary**	**Critical Interpretation**
Technology & Infrastructure Constraints	"Technology cannot recycle at scale." (Interviewee B) "Recycled cotton… that still feels like cotton would be a game-changer." (Interviewee A) "Recycling is happening in Europe… not in production countries." (Interviewee A)	Shows that technological immaturity and regional infrastructure gaps form the most significant operational barriers. Circularity ambitions cannot be implemented without enabling technology and geographic proximity.	Demonstrates a structural **technology-governance lock-in** governance sets ambitions, but operational feasibility is determined by external technological ecosystems. Highlights systemic dependencies and global unevenness in recycling capacity.
Economic & Commercial Pressures	"There is no competitive advantage… customers don't care enough." (Interviewee B) "If you are not meeting your targets… it becomes much more difficult." (Interviewee A)	Reveals that business viability, price pressure, and low consumer demand severely restrict operationalization of circular models. Economic logic shapes what	Highlights tension between **circularity vs. cost-efficiency**; circular initiatives become vulnerable under financial pressure. Employee insights expose commercial realities

		governance can realistically prioritize.	under-acknowledged in corporate reporting.
Regulatory Pressure as an Enabler	"It has to be regulated… companies can't do everything on their own." (Interviewee C)	Shows that regulation stabilizes expectations and creates incentives for investment in systems, data, and accountability. Regulation strengthens governance capacity at the operational level.	Demonstrates that external regulatory governance compensates for voluntary initiative gaps and market failures. Regulation becomes a **forcing mechanism** that aligns operations with strategic sustainability targets.
Organizational Culture & Identity	"What the company wants is what the people want." (Interviewee A) "We are leading this… colleagues should feel proud." (Interviewee C)	Shows that strong sustainability culture motivates employees and acts as an internal enabler, supporting long-term transitions despite resource constraints.	Culture provides **emotional continuity** and internal legitimacy but cannot overcome structural barriers alone. Culture explains persistence, but not feasibility, of circular strategies.

5.5 Areas of Strong and Weak Alignment

Our RQ4 examines the degree of alignment between H&M's reported sustainability and circularity commitments and the practices observed by employees in their work. This question extends insights from RQ1-RQ3; here, analysis is done to see where commitments translated into tangible actions and where the inconsistencies emerge.

5.5.1 Areas of Strong Alignment

Across interviews, significant alignment was seen between H&M's sustainability commitment and its ongoing organizational efforts. As summarized in table 4, decarbonization was emphasized as a key area of alignment in reports and during interviews. Interviewee A highlighted decarbonization as the primary leverage point for the company, stating that decarbonizing suppliers is where we have the greatest impact, so we are focusing heavily on

that. This aligns with our analysis of H&M's sustainability report 2023-2024, where a substantial reduction in Scope 1 and Scope 2 emissions is documented. The report also shows a continued investment in supplier energy transition, showing climate-aligned roadmaps for the organization. Interviewee C highlighted that the organization's governance structure is aligned with regulations, and changes are being made in line with new EU regulations to improve it, this confirms H&M's practices to comply with CSRD and ESG by making changes to the existing governance structure to better align it.

Material sourcing is also seen as a strong area of alignment. Interviewee A shared that the organization is investing in more sustainable materials, even though it is expensive. Interviewee C also shared insights, stating that Projects like garment-to-garment recycling are in the process of scalability to meet the 2023 requirements of 100% sustainably sourced material. These statements complement the report's documentation of increased use of recycled polyester, a partnership with innovators in fiber regeneration, and the use of responsibly sourced materials.

Taken together, these are examples of core alignment at H&M, supplier decarbonization, increased regulatory compliance, and material innovation, which are seen as tangible actions by the organization.

5.5.2 Areas of Partial or Weak Alignment

Although H&M is the first mover in sustainability, there are many constraints that hinder or slow down the sustainability projects. Table 4 shows evidence from the interview transcript on areas of partial or weak alignment. The sustainability reports by H&M give a positive view of the work; however, the interviews reveal misalignment between the operational realities and the ambition stated, especially in the field of circularity. Discontinuation and scaling back were highlighted by the interviewees, Interviewee A shared that we do not have a target for circularity anymore, while interviewee C stated circularity is not specifically followed; we have a main target of sustainability. Other pilot initiatives, which were highly promoted in earlier sustainability conservations, also failed to scale. Interviewee A confirmed how they tried rental, but it didn't work out, similarly, Interviewee B and Interviewee C expressed skepticism when asked about the transformative promise of circularity, saying the circular economy can reduce impact but cannot solve the problem and is not a good solution for fast fashion as stated earlier in RQ3, resonating with the analysis of reports stating how H&M communicates high-level circularity goals, but the data of quality of material, its durability, or recycling inefficiencies is limited.

5.1.3 Influence of External Factors on Alignment

Apart from the internal factors, the degree of alignment between commitment and practice is also shaped by external factors. As listed in Table 4, geopolitical instability is a major factor. On the top of the list, as described by the interviewees, are geopolitical instability, shifting societal priorities, and inflation. Interviewee B highlighted how geopolitical reality has changed, and sustainability is not at the top of mind for many. Interviewee C also agreed on how prioritizing sustainability is changing according to the external factors' pressure. Inflation, specifically economic downturns, and high living costs, on the other hand, have shifted the minds of consumers from sustainable alternatives and have had a similar impact on the organization's capacity to invest in long-term sustainability experiments such as recycling infrastructure.

Table 4: Analytical Overview of RQ4 (Areas of Strong and Weak Alignment in Reports)

RQ4 Theme	**Evidence from interviews**	**Alignment summary**	**Critical interpretation**
Strong alignment: Supplier decarbonization	"Decarbonizing suppliers is where we have the biggest impact… we are focusing a lot on that." Interviewee A	Clear commitment to decarbonization, particularly supplier-focused interventions.	This is a governance-anchored, top-down domain with clear metrics and pathways (energy transition, Scope 1–2–3 structures), which eases organizational adoption.
Strong alignment: Regulatory preparedness & governance processes	"We are preparing for the new EU legislation… developing processes and systems." Interviewee C	High alignment on building disclosure systems, controls, and documentation for CSRD/ESG	Regulation functions as an enabler/forcing mechanism, converting voluntary intent into auditable practice, and strengthening internal traceability and accountability.
Strong alignment: Material sourcing & innovation	"We are investing in more sustainable materials… even if it's	Tangible investments and partnerships indicate	Alignment persists because this area is strategy-led and investment-driven;

	more expensive today." Interviewee A "We have a co-venture… for garment-to-garment recycling to meet our 2030 goals." Interviewee C	alignment between material-sourcing commitments and action.	however, there are latent performance trade-offs (durability, recyclability) flagged elsewhere.
Partial/weak alignment: Circular business models (rental, repair)	"We tried rental… it didn't pan out." Interviewee A	Gap between earlier rhetoric and current practice; pilots discontinued or scaled back.	Operational and demand frictions (cost, planning, quality control, low willingness-to-pay) undermine scalability in fast fashion.
Partial/weak alignment: Full "circularity targets"	"We don't have a target on circularity anymore… many companies have dialed it down." Interviewee A	Retrenchment from earlier, more ambitious targets show weakening alignment over time.	Reflects recognition of structural limits (technology, infrastructure, economics) and the difficulty of measurement/attribution for "circularity" as an umbrella construct.
Partial/weak alignment: Textile-to-textile recycling at scale	Employees cite technology, immaturity and infrastructure gaps constraining scale. Interviewee A, B, C	Partial alignment: co-ventures and pilots exist, but material quality, blended fibers, and regional capacity limit scale-up.	Technology–governance lock-in governance sets up ambition, but feasibility is capped by fiber science and infrastructure geography.
External pressures shaping alignment	"The geopolitical reality has changed…	Dynamic alignment:	Consistent with transition theory:

	sustainability is not top of mind for many now." Interviewee B	initiative-level volatility under macro shocks, but strategic commitment persists.	macro-economic/political shocks decelerate transitions without necessarily reversing institutional trajectories.

Together, the findings above show how H&M governance is influenced by internal or external factors. It also highlights the complexity of governance structure, operational realities, and external pressures, which impact the implementation of circularity initiatives. Strong alignment was seen in areas like decarbonization and material sourcing, while technology and economic pressure were seen as major constraints.

Chapter 6: Discussion

This chapter interprets the findings of the study using micro-level sensemaking, meso-level governance mechanisms, and macro-level organizational constraints.

The sustainability reports by H&M 2024 state that they are planning to make their material 100% sustainably sourced, however, as discussed earlier in the literature review, the definition of sustainably sourced material is very vast, showing only the marginal improvements of the organization. Without a clear definition, claims cannot be seen as results. Relative to prior literature, my study findings are closest to the literature that foregrounds the structural tensions and constraints between fast-fashion and circularity; it also agrees with the evidence that recycling limits the quality of fiber, which hinders textile-to-textile scaling. My data reproduces these constraints directly in employee accounts and governance outcomes. These alignments mirror the critiques by Niinimäki et al. (2020) and Korhonen et al. (2018), showing how underspecified performance criteria can risk low-friction compliance when recycled or sustainably sourced targets are broad (Niinimäki et al., 2020; Korhonen et al., 2018). Structural issues can be a limitation when implementing any initiative. For example, H&M presented itself as the first mover in sustainability in the late 1990's, but much remains to be done or is limited due to structural constraints. This study diverges from more optimistic strands is the scalability of circular business models. Where rental and repair present a structural operational misfit in a high-velocity, low-margin context, resale appears to be more feasible but requires more governed partnerships, not just marketing. The analysis indicates that with precise and auditable metrics, alignment emerges when decision-rights are well defined, and external rules stabilize incentives. However, uncertain measurements and reliance on misaligned technology result in decoupling (Sandin & Peters, 2018). The reflections from interviews cast critical light on H&M's sustainability reporting, highlighting how they have shared increased use of recycled and sustainably sourced materials, yet discussion on lifecycle impact and durability compromises with these choices is limited. Literature also sheds light on how the definition of sustainably sourced material is still not clear, reflecting governance problems, reinforcing ambiguity.

The findings of RQ1 show how H&M's decision rights, accountability structure, and traceability processes are embedded in the governance system. From a governance perspective, the result shows that with a specific auditable aim, the governance mechanism at H&M works best. Initiatives can come from operational teams' governance mechanisms to determine that the progression of these initiatives depends on approval from senior leadership if it aligns with the corporate priorities. This reflects a hybrid governance structure, where there is a balance

between internal ambition and external demands. Across the case material, accountability is seen as procedural and reporting-centric rather than sanction-linked, which is explained by the governance lens, why circular initiatives that are usually multi-dimensional and dependent on technology struggle to move beyond the pilot phase while climate and compliance advance. The results reflect how governance has a structure driven by top-tier leaders ensuring the alignment between initiatives and corporate goals.

The findings of RQ2 reflect on how employees perceive circularity, when looked from a sensemaking perspective, employees frame circularity as an incremental impact reducing measure, not a transformative shift; their interpretation is shaped by cues and the constraints of the fast-fashion model. This indicates that employees see circularity as a part of the solution for the ecosystem, but they refuse to think of it as a singular remedy. This demonstrates how the feasibility assessments are shaped by their encounter with the realities of fast-fashion production. Issues like globalized supply chains, technical constraints, and volume-driven business models are on top of the list. This shows how their skepticism is not resistance to sustainability but their awareness of systematic limitations that constrain the circular economy, as explained in the previous literature review. This also shows how shifting to a circular economy is not just a shift from a linear to a circular system, but it is a sensemaking process shaped by ambiguity, a lot of compromises, trade-offs, and long-term experimentation. The above-mentioned insights reveal how employees intercept circularity through the lens of practical limitations and operational tensions, highlighting the gap between circularity's conceptual ambitions and the practical constraints under which employees must work. From the sensemaking lens, the perception of employees is anchored in operational and material trade-offs, which shows how internal perceptions are usually shaped by local cues, material constraints, and organizational realities. This aligns with broader literature review, Sandin and Peters (2018) explained how recycled fiber quality is degraded, Niinimäki et al. (2020) also shared insights about trade-offs and compromises one must make, mentioning how choosing one environmental dimension often undermines another. Therefore, as documented in the literature, the organization's ambition, material constraints, and systematic limitations shape feasibility assessment. These results and insights show how employees' perceptions are based on practical information, and their perspectives are consistent with prior research showing circular business models require deep organizational restructuring and change in consumer behaviour, as explained by Niinimäki et al (2020). These are also seen as the major reasons why fast-fashion firms struggle to operationalize. This mirrors the academic critiques; fast-fashion products and rental models are poorly suited, typically due to high item turnover (Clube

& Tennant, 2020; Bocken & Short, 2021). Studies often present resale as effective in theory, but it is not always effective due to its requirements for infrastructure, labor, and data systems (Brydges, 2021; Pal et al., 2019). These results also reflect organizational change dynamics where structural constraints, resources, and technology can limit the implementation of circular strategies. This aligns with organizational change literature that shows misalignment between capabilities, supporting systems, and infrastructure can stall transitions.

From the results of RQ3, misalignment was seen when the interviewee's mentioned recycling is happening in Europe, while production in India or Bangladesh, illustrating geographical gaps between where garments are produced and where they are recycled. As explained by Turker and Altuntaş (2014), this mismatch complicates traceability as well. H&M highlights these recycling initiatives in the report but also mentions the technological limitations. These findings illustrate that governance ambitions cannot be operationalized with supporting technological systems, as employees also see technology as a governance bottleneck, determining which form of circularity is feasible. Economic pressures also reflect organizational change constraints, where the financial cycle can slow down or override the implementation of the initiatives, reflecting organizational change constraints, making commercial visibility a decisive factor. This echoes literature on how fast fashion cannot adapt to circular strategies easily as it requires more time, infrastructure, and labor (Niinimäki et al., 2020; Bocken & Short, 2021). Regulations were seen as an enabler and guidelines, not just a compliance requirement that could help in prioritization of goals at H&M. Regulatory oversight was also seen as very important in the literature, as the voluntary nature of sustainability makes the enforcement limited, making it difficult to differentiate between actual and symbolic adoption (Santos et al., 2024). The findings reveal that cultural alignment is seen as essential for long-term organizational change in organizational change literature, especially when there are other barriers involved in making progress slow.

RQ4 findings reveal dynamic alignment between commitment and long-term transition; it shows alignment is strong if the frameworks are clear and supported by oversight structures from a governance perspective. From an organizational change lens, it weakens where constraints like technology, economy, or consumer behaviors' uncertainties persist. Some key alignment areas were decarbonization, as all interviewees see this as a primary leverage point for the company. Material sourcing was also seen as an area of strong alignment according to interview data and the sustainability reports, the organization is investing in more sustainable materials, although it is expensive. Circularity overall is seen as an area for weak alignment as

interview data revealed that they do not have circularity as a specific target, and they focus more on general targets of sustainability.

The findings of this study show that the implementation challenges cluster in four major areas. First, when circularity targets are broad, such as increased recycled content without having specific thresholds, the implementation steers towards the most convenient, rather than the most impactful, compliance route. The second challenge is technological issues or infrastructure issues, such as fiber degradation or geographical separation of production hubs and recycling facilities, which limit the scale of circularity, and undermine traceability. Economic pressure and dynamics are seen as the third challenge, as they restrict feasibility. For example, for repair and rental models, costly service infrastructure is required that clashes with the fast-fashion volume-driven and low-margin economics. The fourth major challenge is the limited agency, as despite the high motivation, employees' influence is limited by centralized decision-rights.

The recommendations this study proposes are grounded in the empirical material. First, the target design should be specified for auditability and performance. Some examples could be the introduction of product-category thresholds for repairability and durability, separating textile-to-textile from recycled materials, assignment of clear role responsibilities, and soft consequences for missed targets. The second thing that can bring positivity to implementation is that a circular pilot should follow a disciplined stage-gate approach, clear scale logic, and formalized governance for external partners, which could be the best way to move forward. Third, traceability can be strengthened and should prioritize high-risk claims. Fourth, feedback loops can be strengthened where recurring operational trade-offs can help in redesigning targets. While these measures cannot remove the structural issues and tensions of fast fashion, they can significantly improve the credibility and robustness of circularity efforts. In sum, the uneven implementation is not a lack of ambition but rather reflects governance designs operating within economic and technological constraints. Good alignment needs goals that are specific, verifiable, and strengthened by regulatory requirements; however, alignment weakens when the outcome relies on diffuse incentives, immature technology, and costly coordination.

This study contributes to showing why and where alignment emerges and can be translated into conditions that are actionable adjustments to target design, decision-rights, and incentives. This moves the debate from ambition to execution, treating governance as a design problem rather than a communication tool.

Chapter 7: Conclusion

This thesis used H&M as a case study for examining how internal governance structure and employee perception influence or shape the implementation of sustainability in a global fashion retailer. This study adopts a multi-level analytical framework in which governance acts as central framing, and the chapter then integrates sensemaking theory used for employee perception and interpretation, and Organizational change theory used for structural constraints as complementary perspectives. Throughout the study, key gaps in existing literature related to decision rights, interpretive processes, and internal mechanisms were addressed to see what influence they have on any initiative.

The findings of this study demonstrate that the core challenge is the interaction between governance design, structural constraints, and operational feasibility, and not the lack of commitment. The decision rights were seen as a centralized process where ideas can emerge from any level, but the final decision would be taken by higher management if the idea is in accordance with the goals of the organization. This enables strategic coherence but limits the adaptive capacity at operational levels. Accountability was seen as reporting driven rather than an outcome-based mechanism. There are many rules and regulations inside the organization, but they focus on sustainability, while circularity is seen just as a waste reduction strategy rather than a transformative step. When it comes to alignment, climate-targeted initiatives like decarbonization show good alignment between commitment and practice, while circular initiatives struggle to scale such as repair and resale projects are discontinued.

Employee perception offered further empirical support for these patterns. In the interviews, circularity is framed and interpreted as an impact reduction strategy rather than a transformative alternative to fast fashion. As explained earlier, their assessment of feasibility was based on issues such as technological barriers, material trade-offs, and economic pressure rather than lack of motivation. Employees express strong engagement with sustainability but centralized decision-making limits their agency. This study shows that the implementation gap in circularity is not from a technological or attitudinal one, but it is a governance or organizational design issue. The findings show how governance structure influences employee perception of circularity by defining what is measurable or prioritized. Circularity, therefore, emerges as a contested construct whose feasibility and meaning vary across organizational levels. This study further contributes to governance scholarship, showing that effective implementation depends on the target specificity and clear regulatory metrics, whereas broad commitments tend to enable compliance-oriented decoupling rather than transformation.

For large fast fashion firms, this study's findings highlight the need for sustainability governance that matches the complexity of circular fashion. For credible implementation, clear, auditable targets supported with structured pilot governance and prioritized traceability are necessary. The study further confirms that the organization's motivation and cultural support are not sufficient; systematic change requires aligned authority, resources, and incentives.

This study is subject to several limitations, the first and foremost of which is a single case study design, as it limits the statistical generalizability of findings beyond the studied organization. The interview samples reflect a limited number of perspectives within the organization, which may restrict the diversity of captured viewpoints. A critical interpretation of corporate reports was necessary given their voluntary nature; however, this reliance may limit the extent to which reported claims reflect the actual performance. Future research could adopt a comparative multi-case design to examine variation in governance configuration and implementation outcomes or explore how employee participation in decision-making affects the implementation outcomes, assessing whether increased agency reduces symbolic adoption and improves feasibility. Another avenue would be to have a study that incorporates the supplier-level perspective to provide insights on how decisions on a global production network are enacted or negotiated.

In conclusion, this thesis shows that the uneven implementation of circular initiatives stems from governance structures bounded by economic, technological, and organizational constraints and not due to weak commitment, Specific measurable goals supported by regulations show strong alignment between sustainability ambition and practice; diffuse targets weaken it. This study contributes to shifting the debate from sustainability ambition to execution by reframing circularity as a governance design challenge rather than a communicative issue. It underscores that meaningful progress in circular fashion requires governance architectures capable of translating intent into practices; cultural and innovation commitment alone are insufficient.

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Appendix:

Interview guide

Date: XX

Interview format: Online/Onsite

Duration: XX

Role category: XX

Consent: XX

Language: English

Section	Perception-Focused Interview Question	Purpose / Notes
A – Role & Experience	How do you perceive your role in shaping H&M's circular fashion initiatives?	To understand personal involvement & perspective
	How has your experience influenced your belief in the effectiveness of these initiatives?	To capture belief & perception over time
	What is your specific role in communicating circular initiatives internally or externally? How do you do that?	To get a concrete understanding of communication responsibilities
B – Belief in Projects	Are there any circular fashion initiatives you personally do not fully believe in? Why?	To identify skepticism or doubts
	Which projects do you see as genuinely impactful, and what makes them so?	To explore personal judgement of success
C – Evolution & Experience	How have these initiatives evolved since their inception, and what lessons have you observed?	To understand lived experience & progress
	Can you share any successes or failures that shape your perception of circular fashion?	To capture insights from past experiences
D – Barriers & Limits	What internal or external factors do you feel are slowing down progress?	To capture challenges not in reports
	Why do you think scaling circular initiatives has been difficult?	To explore perceived limitations
	Are there organizational practices or policies that make implementation challenging?	To understand internal constraints
E – Opportunities & Strategy	Where do you see untapped potential or opportunities for circular fashion at H&M?	To capture creative insights & ideas
	How could circular initiatives be strengthened to be more impactful?	To explore suggestions for improvement

F – Governance & Strategy	How do you perceive the role of environmental governance in shaping H&M's circular fashion initiatives?	To understand perceived importance of governance
	Which factors influence circular fashion the most – EU regulations, national policies, company sustainability commitments, consumer expectations, or shareholder demands?	To capture perceived drivers and priorities
	How do this governance factors help or hinder implementation and scaling?	To explore perceived barriers and enablers
	How are circular initiatives discussed or communicated internally in relation to these governance drivers?	To understand perception of governance in internal communication
G – Looking Ahead	What do you see as the main threat to H&M's circular fashion initiatives?	To identify risks from their viewpoint
	If you could change one thing to strengthen circular fashion, what would it be?	To gather actionable suggestions
	How do you envision H&M's circular fashion initiatives evolving in the coming years?	To explore future expectations and perceptions
H – Critical Reflection & Strategic Thinking	In your view, are sustainability and circular economy the same thing, or how do you differentiate them in practice?	To explore personal understanding and conceptual beliefs
	As a global fashion retailer, do you think H&M's commitment to circular fashion is irreversible? Why or why not?	To understand perception of long-term commitment and organizational priorities
	What do you think would happen if circular fashion initiatives were to fail or collapse?	To explore perceived risks, resilience, and contingency thinking
	Are there aspects of circular fashion that are misunderstood internally or externally?	To identify perception gaps not captured in reports
	What do you personally see as the most critical leverage point for making circular fashion successful?	To gather deep insights on priorities and strategy from their perspective

Note: This was a semi-structured interview, and questions were adapted in real time based on the participant's responses and the direction of the conversation. The interview was audio recorded with the participant's consent, and the transcript was produced afterwards for analysis.